

Indonesia's *EV* market just shifted gears.

Sales surged. Chinese brands took the lead. And a brand-new tax regime is rewriting the rules for what comes next.

EVs are **no longer niche** in Indonesia.

Through the first two months of 2026, EV penetration crossed the 10% threshold of total passenger car sales, nearly double the level a year ago. The category grew while the overall market barely moved.

EV MARKET SHARE

~10%

of total passenger car sales YTD 2026, up from ~5.6% in early 2025.

YOY EV GROWTH

+69.5%

EV segment expansion through Feb 2026 vs. same period 2025.

TOTAL AUTO MARKET

+9.3%

147,606 units sold YTD Feb 2026, with the recovery driven largely by EVs.

2025 FULL YEAR EV SALES

99.8_k

EV units sold in 2025, up +182% YoY, setting the launchpad for 2026.

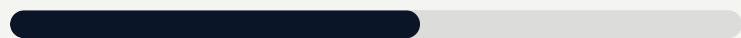
The **acceleration** in numbers.

Year-on-year, Indonesia's EV segment is one of the fastest-growing in Southeast Asia, outpacing Thailand and rivaling Vietnam.

Q1 2025

~18k

EV UNITS SOLD



EV share

10.1%

A strong start, supported by full central government incentives, including 1% VAT, luxury tax breaks and CBU import duty waivers.

Q1 2026

~32k

EV UNITS SOLD (EST.)



EV share

~10%+

Volume nearly doubled YoY despite some incentive rollbacks. Chinese OEMs and aggressive new models drive the surge.



EV unit sales up an estimated +75-80% YoY

While total passenger car sales grew only +9.3%, EVs are doing the heavy lifting in Indonesia's auto recovery story.

Who's **winning** Indonesia?

A power shift is underway. Chinese OEMs, once a curiosity, now dominate Indonesia's overall top 10 brand ranking, propelled almost entirely by EVs and PHEVs.

01	BYD CHINA · #5 OVERALL BRAND	5.7% market share	▲ +279%
02	Jaecoo CHINA · NEW ENTRANT	3.7% share	▲ NEW
03	Geely CHINA · RISING FAST	1.4% share	▲ +1,601%
04	Wuling SAIC-GM · EV VETERAN	1.8% share	▼ -22.6%
05	Honda JAPAN · ICE STALWART	6.6% share	▼ -41.4%



THE SIGNAL

Three of the five fastest movers are Chinese EV/PHEV brands. Legacy Japanese ICE players (Honda -41%, Toyota -8%) are losing share to electrified Chinese rivals, fast.

2026 changed the incentive map.

Indonesia is shifting from blanket EV subsidies toward localization-first incentives, rewarding manufacturers who build in-country and pushing imports to compete on their own merits.

REG · 01

CBU import incentives ended Dec 31, 2025

The 0% import duty, luxury tax (PPnBM) waivers and full VAT relief for fully imported (CBU) EVs are no longer extended into 2026.

MINISTRY OF INDUSTRY

REG · 02

1% VAT preserved for locally-built EVs

EVs assembled domestically with $\geq 40\%$ local content (TKDN) keep the reduced 1% VAT rate, versus the standard 12%. A clear signal: build here, save here.

PMK 12/2025

REG · 03

Permendagri 11/2026, tax authority decentralized

Effective April 17, 2026: regional governments now set EV motor vehicle tax (PKB) and title transfer (BBNKB) rates. Provinces can keep 0% or move higher.

MINISTRY OF HOME AFFAIRS

REG · 04

TKDN ramp: 40% → 60% by 2027 → 80% by 2030

The Domestic Component Level (TKDN) requirement steps up. EV makers must localize batteries, components and assembly to keep premium incentives.

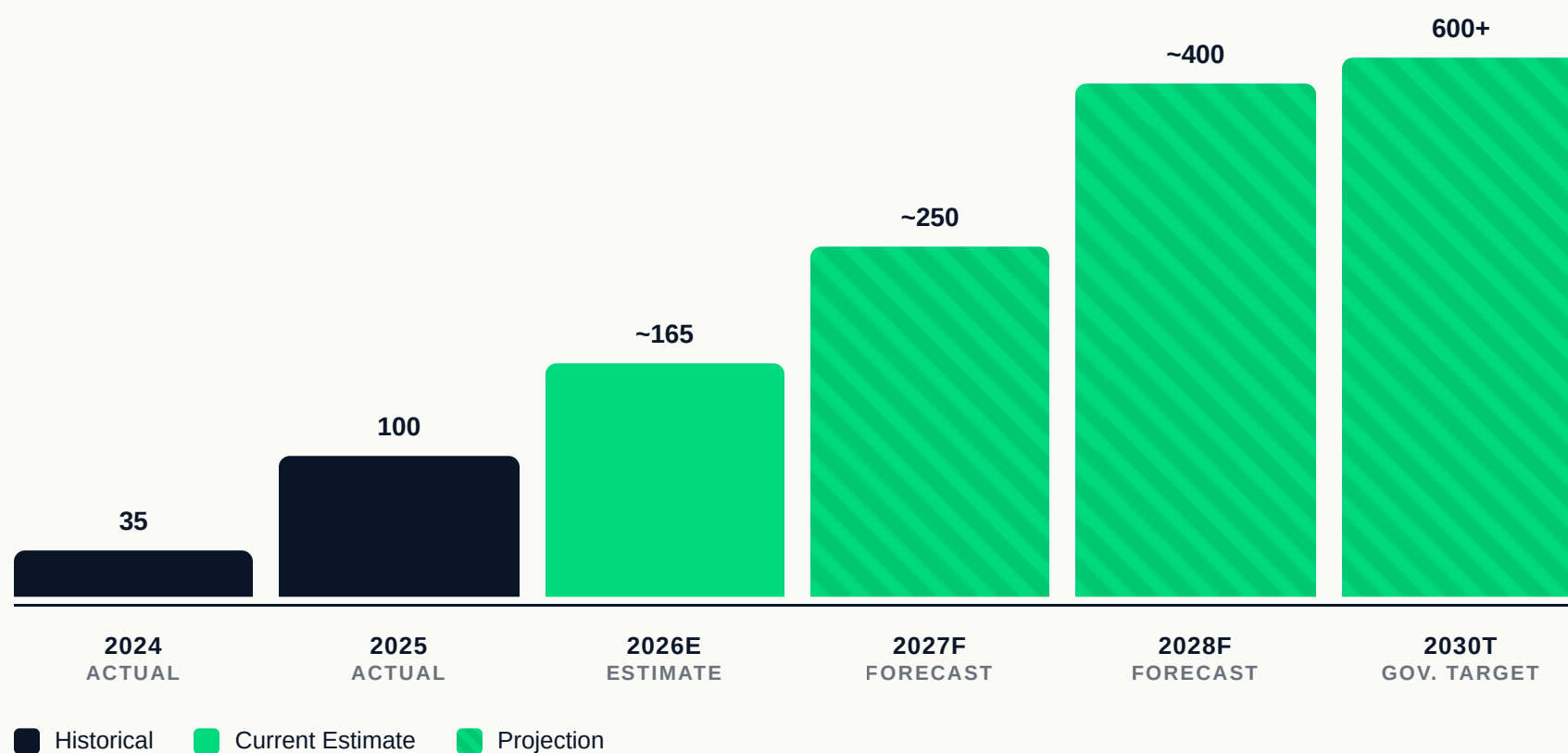
PRESIDENTIAL REG. 55/2019

Where Indonesia goes **next**.

With CATL & Indonesia Battery Corp's \$6B project coming online by end-2026 and 9 global brands committed to local production, the supply side is being engineered for a structural step-up.

Indonesia EV Sales Trajectory (Annual Units, '000s)

Historical actuals + 2026 estimate + government target



⚠ BEAR CASE

Regional tax fragmentation

If provinces apply varied PKB/BBNKB rates aggressively, IESR estimates up to \$2.7B in EV investment is at risk of relocating to Vietnam.

✦ BULL CASE

Localization tipping point

Local CKD assembly + nickel-to-battery integration could hit 600k EVs/year by 2030 and contribute up to \$14B to GDP, per INDEF.

3 takeaways for strategists.

If you're building, investing or selling into Indonesia's auto market, these are the shifts that matter most.

01

The EV transition is no longer optional, it's inevitable.

10% penetration is the conventional adoption tipping point. Indonesia just crossed it. From here, EV growth tends to compound, not slow.

02

"Made in Indonesia" is the new moat.

Policy is engineered to reward local CKD assembly. OEMs without a domestic plant by 2027 will face a structural cost disadvantage, possibly losing the market entirely.

03

Watch the regions, not just Jakarta.

Permendagri 11/2026 hands EV taxation to provinces. The next 6 months of local rate decisions will determine whether Indonesia accelerates, or stalls, its 2030 EV target.

The next *chapter* is being written now.

Indonesia is no longer a story about whether EVs will take off, it's a story about who builds the ecosystem, who localizes fastest, and which provinces win the green industrial era.

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SOURCES & METHODOLOGY

GAIKINDO (Indonesia Auto Industry Assoc.) · MarkLines · Focus2Move · ICCT "Electric Vehicle Market in Indonesia" (Dec 2025) · IEA Global EV Outlook 2025 · IESR · Indonesia Business Post · Ministry of Finance (PMK 12/2025) · Ministry of Home Affairs (Permendagri 11/2026). Q1 2026 figures partly estimated based on Jan–Feb 2026 reported data; full quarter actuals pending GAIKINDO release.